General Notes:

Have patience and discipline
20+ hours of research minimum to get certainty about a company
Only have to have an opinion on a few things
Sell greed → buy fear

Events:
Generally sales and income go down for a bit, cash gets hit a little later
Try to stay out of banks, pharmaceuticals, airlines, china, tech, financial institutions, holding companies, and healthcare

- Edwards is in the medical device industry, which is congolerated into the healthcare industry as a whole. Healthcare has continuously outperformed the market especially during inflationary periods

Avoid companies that are huge acquisition monsters. How many and how often does this company make acquisitions?

- In the 22 years that edwards has been independently doing business, they have made nine acquisitions:
    - Corvia (March 2019) for $35M. They primarily make a shunt device which gets placed in between the wall of the atria through a transcatheter procedure to balance out the pressure between ventricles of the heart. They closed Series D funding in 2014 for $34M, and another $54M in 2022 after a filed phase 3 trial showing that their device didn't show a difference in patients. Corvia is competing against companies like LLY, who do not have a competitive advantage.
    - CASMED (Feb 2019) for $111M. They make critical care devices, which will directly be incorporated into HemoSphere.
    - Harpoon Medical (Dec 2017 $100M).
    - ValTech (Nov 2016 for $340M)
    - CardiAQ Valve technologies (Jul 2015 $350M)
    - Percutaneous Valve Technologies (Dec 2003 %125M)

Edwards does not make too many acquisitions and has only spent $1.15B on acquisitions in total (a fraction of their sales last year). When they do make acquisitions, they are businesses that are directly in the field of heart valves or heart monitoring.
Still work to do on moats of all these companies

It's better to be a copycat than to be an innovator
Try to find companies that have been around for a long time. How old is this company?
Edwards has been around for 64 years initially as Edwards Laboratories, which got acquired (1985) and eventually spun-off by Baxter International in 2000, by which they began trading on the NYSE as EW.
Event driven investing → are these events fixable within 3 years? Is there a new CEO? Does the CEO have a definite plan to fix the event?

Tranch typically four-ish times to get in @ MOS price

- First tranch is the smallest

- Sell ROP in a zone ~20% within on sale price from fair valuation
- Be patient, you might have to wait awhile after the event to see a turnaround…like years.
- It is not uncommon to take paper losses for months at a time

Types of Events:
- Whole market crash → best kind because it does not have to do with the intrinsic business itself
- Industry problem → also think about what companies will benefit from one industry's decline
- Company problem → usually management screws up
    - Hardest of the three events to figure out

Will the company be worth more in 10 years? → if uncertain, then sell

Reduction of basis:
1. Selling ROP
2. Selling ROC
3. Tranching in
4. Selling shares @ sticker or above
5. Dividends
6. Stock buybacks

Tell tale sign of the end of a bull market is when new common stock offerings are started at prices higher than most common, medium-sized, already existing companies
When to sell:
- Price reached stiker or above (business becomes massively overpriced)
- Moat is breached if business becomes unpredictable
- If management loses their touch:
    - Debt starts rising uncontrollably
    - ROIC starts declining
    - ROE starts declining
    - CEO isn't sharing complete story with the shareholders

Stay away from IPOs (it's probably overpriced)
Look for companies that are selling at a bargain
Its okay to put all your eggs in one basket as long as you monitor that basket like a hawk. Be okay changing baskets when the world around you changes - nothing lasts forever

NEVER BUY A STOCK SIMPLY BECAUSE IT GOES UP AND NEVER SELL SIMPLY BECAUSE IT GOES DOWN

A true investor is free to disregard the current market price of their holdings unless he is to act upon it only to sell in a bull market and buy in a bear market. A bull market is identified by:
- Historically high price levels

- High P/E ratios (check shiller P/E for this)
- Low dividend yields against bond yields
- Much speculation on margin
- Many IPOs of poor quality and high valuations

Compare company's number with the S&P
Factors of a good decision:
- Well calibrated confidence
- Correctly anticipated regret

RULE 1 GURUS: David Einhorn, Julian Robertson, Bruce Berkowitz, Seth Klarman, Lou Simpson, Warren Buffett, Mohnish Pabrai, Prem Watson, Li Lu, Michael Burry
Guru look up: https://valuesider.com/guru/li-lu-himalaya-capital-management/portfolio/2022/2
Good, reputable financial sites to research:
- Forbes
- Business week
- Wsj.com
- Seeking alpha
- The economist
- Motley fool money
- Zachs.com
- Valueinvestorsclub.com
- Bloomberg
- Cnbc
- Marketwatch.com
- Earningscast.com for conference calls
- Google trade journals
- Youtube for articles/videos on management
- Gurufocus.com for articles

Know which reports affect your company stock, and plan trades accordingly.
Types of reports that have influence on the stock market as whole: (the impact of the report is generally proportional to how much the figures differed from expectations)
- CPI monthly report
- Producer price index report
- Unemployment report
- Retail sales
- Export and import prices
- GDP
- Industrial production
- Fed interest rates

There must not be a single question you cannot answer about your company…like seriously

Don’t be afraid to call investor relations!

MEANING

Capable of understanding the business:

- Keep it simple
- Know where revenue is coming from. Explain it in one concise sentence
    - EW sells structural heart solutions from four basic product lines: transcather heart valve replacement, transcather mitral and tricuspid therapies, surgical heart valve recovery, and critical care devices.
- Don't go further if you don't understand it
- Is the company within my circle of influence?
    - Yes, the company produces products of which I can understand largely because they are an engineering company whom I happen to work for. The materials engineering, mechanical, and biomedical solutions are something I can wrap my head around and understand with a little digging.
- Are any gurus investing in it too?
    - No, most likely because it is overpriced right now
- What is my level of confidence in my research of this company?
    - TBD
- Describe the industry and business in one concise paragraph.
    - The medical device industry is very competitive and extremely dependent on innovative solutions and regulatory approvals. The competition is a combination of much larger corporations who have medical divisions, and smaller companies focused on specific product lines or geographies. Edwards stays competitive by staying extremely focused on their market and providing the more patient value than what their competitors are offering
- Describe challenges and economic cycles of this industry
    - The main challenges of this business are to remain relevant in an environment with a lot of regulatory approvals and years of clinical data required before products can be released. Edwards must keep good relationships with suppliers as well as protect their proprietary information as much as possible. Typically, sales in the third quarter (Jun-Sept) is the lowest due to people going on vacations in the summer in both US and EU markets - where the majority of sales come from.
- What is the company’s plan for growth?
    - EW growth is through direct sales mainly to customers as well as independent distributors both in the US (57%) and international (43%).
- Will growth peak within 10 years?
    - Cardiovascular heart disease is the number one cause of death in the entire world, and will always be present in human beings. Therefore, there is always a market for surgical/transcather repair. Additionally, as more patients get repair through Edwards solutions, the reputation growth further, making EW a premium solution for all patients struggling with cardiovascular disease. Growth can

        continue at a strong rate for the foreseeable future, as long as Edwards builds its moats and stays relevant in the space.
- *Know what you know, but more importantly, know what you don't know and stray away from investing activities that are outside your circle of competence*

Have to be okay with what company is doing with your money:

- How do they treat their employees?
    - EW has built an incredible culture of emphasizing work-life balance, diversity, and career building that is unseen in the vast majority of businesses. They have invested heavily into their manufacturing and headquarter locations, where there are a number of athletic facilities including a soccer field, volleyball and pickleball courts, a full service gym, and an incredible dining cafeteria with good healthy food options for incredibly low prices. Employees are given a large amount of autonomy while also allowing growth and learning. Senior leaders are open to mentoring young engineers, and different business units are very open to bringing on team members across different parts of the business in order to help employees find better fits.
- How do they treat their customers?
    - TBD
- How do they treat their suppliers?
    - TBD
- Environmental impact?
    - TBD

You will most likely experience an expensive error in evaluating meaning if:

- The company is on the edge or outside of your circle of competence
- No gurus are buying recently
- Not a business I enjoy studying
- industry/company/product not easy to understand
- Did not do an inversion
- Industry on decline
- Unfriendly union(s)
    - No Unions to my knowledge
- Demand for product in 10 years will be uncertain
    - The demand for cardiovascular heart disease solutions will remain constant throughout economic cycles because people are always having issues with their hearts, especially baby boomers who are the vast majority of Edwards clientele. As this demographic continues to age, there will be increasing demand for Edwards products.
- Uncertain company will be more productive in 10 years
    - Because of the strong brand moat Edwards has built within the medical device industry, people trust their products to fix cardiovascular disease. Additionally, the incredible gross margin ratio of Edwards puts them in a good position to continue to be profitable even with changes in management.

- Industry rate of change is high
    - This industry is heavily dependent on new products being offered and being ‘first to market’ for new cardiovascular solutions. As a result, Edwards has to be very smart about R&D and talent acquisition.
- Did not read 10K’s going ten years back (especially the footnotes)
    - TBD

Are you okay having this company be the only asset you and your family owns of the rest of your lives?

MOAT

Moats let us know if the company will be more profitable in ten years
Competitive Advantage: look for a company that sells a unique products or service, or are low cost buyers and sellers of unique products or services. These products or services need to be almost essential to surviving in modern society
Solutions to cardiovascular disease is certainly essential in modern society because there have not been proven methods to solve heart disease until now. Most people want to live longer, and thus if they struggle with heart disease, they will need a superior product from Edwards to survive

- Creating a consistent products that doesn’t have to change equates to consistent profits
    - Edwards does innovate constantly but they do so in order to stay dominant in their market. EW could just sell their SAPIEN valves and still make a killing in the medical device industry. Once certain products get regulatory approval, they get sold for decades with little additional development required. It’s these products that produce consistent revenue for the business.
- Best companies to buy create their own niche
    - Miles Lowell Edwards literally created the first artificial heart valve, thus opening the world to the market of heart valves
- Competitive advantage must be ‘intrinsic’ and built into the very structure of the company

Mature companies that have had time to build their moats and don’t have to change very much to adapt to competitors

- Not necessarily true for Edwards, but they don’t have to change their products much once they receive regulatory approval.

Types of moats:

- Brand moat → when company name is synonymous with what it offers
- Price → buys its goods at lowest price, then sells them for lowest price to consumers
- Secrets → IP, patents, trademarks, proprietary info, trade secrets
- Toll bridge → basically a monopoly, consumer MUST go through them to get what they want
- Switching → would be a hassle to switch to a different company’s products or services
- Network → social network that allows people to communicate

Look for 10K or 20F (foreign) financial statements

- Business section is typically where you can find info on competitive advantages
- Read backwards, most of the ugliest parts of the reports are in the back in the footnotes
- Investigate whenever you see the words “capitalized”, “deferred”, or “restructuring”
    - ‘Deferred’ is mentioned many times in the most recent 10K report
    - ‘capitalized ‘ is mentioned 34 times in the most recent report. It is mentioned in the context of capitalized interest, which EW paid $18.4M in 2021. Capitalized interest is bad interest and results in more total payments compared to regular interest payments. TBD to look into further

Look for companies with multiple moats, which ones does this company have?

Edwards has both a brand moat, secrets moat, as well as a medical network moat (this refers to the sheer amount of doctors that are trained in using Edwards medical devices specifically)

How hard is it to compete with this company? Compare this company to its competition, ask yourself, why will they win in the next decade? What protects this company from its competition?

Ways that competition may breach the competitive advantage of your company:

- Doing the same thing but cheaper
- Creating a product/service that will eliminate the need for the ladder

What is the future growth rate and is it increasing or decreasing? Why?

Is there enough total addressable market space to continue growing for the next 10 years at the rate they are?

- Edwards reported that the total addressable market today is 8.6B (5B for TAVR, 1.5B for Surgical, 1B for TMTT, and 1.1B for Critical Care. They estimate that this market will grow to 20B by 2028 (10B TAVR, 2B Surgical, 5B TMTT, and 2B Critical Care. In 2021, their total sales was 5.23B, representing 60% of the market!! Double check this on Medtronic and Abbott though

Are projections a realistic assumption to make?

Does the company have enough cash flow to last several years if it loses money?

- The company has 870M total cash equivalents as of end of 2021. They have 690M in debt, which is mostly due far in the future. They have enough cash to cover the debt right now, and even if they didn’t the debt it entirely long term. They could easily last at least five years with the cash they have, and even pay off their long term debt at the same time (page 33 of 2021 10K).

How were sales and earnings in the last recession?

- 2020 Pandemic: sales still increased marginally, but rebounded strongly in 2021. This shows that even in a pandemic, their customers are still buying products.
- 2008/9 Recession: sales still increased albeit at a slower rate. 2007 sales grew by 11% while 2008 sales grew by 2.3%, and 2009 at 2.1%. It took until 2014 for sales to start seeing double digit growth again
- Side note: sales have quadrupled since 2009!

How does cash from financing activities compare to cash from operating activities? Avoid companies that produce more cash from financing vs operating

- The company splits it up into cash from financing as well as investing activities. For the past five years these two categories have consistently been negative. From the investing activities side, they are constantly investing in capital expenditures (averaging 6-8% of total sales) as well as purchasing/selling investments (mostly purchasing, hence the consistently negative values. While cash from financing activities usually represents anywhere from 20%-45% compared to operating cash, that is because they are buying back stock using their cash. They bought back the most stock in the past five years in 2020, taking advantage of their decline in stock value. Although they also bought back a significant amount of shares in 2021 as well, even though the stock price was inflated

Is the company receiving revenue from a diversified clientele?

- Edwards is diversified not only in their products but also clientele. TAVR represents 65% of sales, TMTT at 12%, Surgical at 15% of sales, and critical care at 8%. Surgical and critical care's share of total sales have been decreasing, while TMTT's is rising, with TAVR remaining the same.
- Additionally, they sell both in the US (57% of sales) and internationally (mostly in Europe(53% of international sales), Japan(23% of international sales), and rest of world. This is good that they are not too exposed to China
- Not one of their customers represents 10% or more of their total sales, indicating that they have a diversified clientele. They sell mostly to hospitals and a few independent distributors.

Does the company put some (not too much) money into R&D?

- The company consistently invests 15-17% of their sales into R&D. Most of the R&D budget goes towards clinical trials and recently a lot has been going toward TMTT. Still have to see how this number compares to Abott and Medtronic

Read previous 10K's to see if company fulfilled its goals before. Read 10K's 5-10 years back and 10Q's at least a year back

Read articles about company from different sites (read BOTH bull and bear cases). Ask yourself, do you know more than the analyst writing the bear case?

Has this business proven that they are antifragile and can raise prices as costs increase?

- The word 'inflation' is not mentioned once in the previous 5 annual reports. Tracking the costs of their products is a little difficult

Growth rates in order of importance: (are they moving in parallel? Why or why not?)

1. ROE - consistently over 20%, and recently has been increasing if you take out the litigation payment as well
2. EPS (took a dip in 2020 not because of covid, but because of a 400M litigation payment to Abbott labs regarding Mitraclip). Adjusted EPS still showed good growth
3. Sales - strong at over 10% per annum growth (except for 2020 b/c of covid) for the past ten years
4. Cash flow - cash flow has been increasing at a solid rate (15-20% for the past six years. This may not be reflected right away when you look at the cash flow statement, but taken

into account the litigation payment and the 2017 income tax law, then cash flow has been consistent

How to identify loss of a moat:
- Other competitor replaces business in marketplace with better product/service
- Inside traitor → CEO has selfing interest
    - Mike Mussallem has been with Edwards since its break off from Baxter in 2000. He's not going anywhere. Very focused on the future of this company.

INCOME STATEMENT:

General rule (with exceptions): gross profit margin of 40% or more might be a sign of a durable competitive advantage. Margins should be consistent or consistently increasing. Companies that have this level or higher can also be stripped of competitive advantage by high operating expenses
- Gross margins have been hovering slightly above 70% for a decade. This business is extremely profitable and margins have actually been slightly increasing in the past five years. Operating expenses have been around 45% of total sales for a decade, and have actually been decreasing with time

Does it consistently not have to spend a lot on R&D?
- The Company spends roughly 17% of its total sales on R&D, which has increased in the past five years to build out the new TMTT BU. The investment in this BU will bring in billions of dollars of new revenues. Abbott averages 7%R&D spending compared to sales and Medtronic around the same. Why does Edwards put so much more into R&D?

Does it consistently grow its earnings?
- Earnings have been growing consistently once the litigation expense was taken into account.

Look for companies with 15% (general rule but varies by industry) or less than operating profit. Anything more is dangerous

Is earnings to revenue ratio high or low? 10% or lower is generally good and 20% or higher is generally really good)
- The company has been at 20% or higher and climbing for the past decade or so. Must exclude 2020 once again because of the one off litigation expense

Be weary of EPS increasing while net earnings is not
- They are growing at the same rate, nothing to worry about here

Causes for decreased EPS/cash numbers:
- New CEO
- Going through an event

Be weary of a company that reports a different income tax paid figure than what they actually paid. You can check in the SEC filings by finding the pre-tax earnings and subtracting the corporate income tax from that and comparing this figure to what they reported on financial statements

- EW strategically pays a lower income tax rate than the 21% by using California R&D credits, having a significant amount of their business abroad whom have lower rates, tax benefits of employee share-based compensation, and by the changes in fair value of their liabilities

The net gain or (loss) on assets and "other" category are non-recurring so they should be subtracted or added to the net earnings to more accurately reflect the core business

- Already did that with the litigation thing

EPS should show slow and consistent growth over a ten year period. Erratic EPS show that a company is in a fiercely competitive industry. Factors that affect EPS:

- "Special charges" in income statement
    - Took that into account
- Changes in income taxes
    - The 2017 tax cuts affect this, as well as the increase in taxes from the litigation
- Dilution factor
    - Basic and diluted EPS are generally different by 1.5% - 2.5%, indicating the employees of the company own that amount in options, and could exercise those options if they wanted. That difference is not too big to worry about.
- Use of accelerated depreciation vs straight line depreciation (sometimes things that are on an accelerated depreciation are not actually depreciating that fast. It is in their best interest to take it off their books so they don't may taxes on it)
    - They use a five year depreciation schedule, which is very fast. Most of their assets last longer than this, but they are no longer paying taxes on them

A company that does not pay a dividend should be using the excess cash wisely. Where is this cash going and what has it produced in the past few years? Is management really generating a better EPS by utilizing the dividend money to grow?

- EW reinvests all of its earnings back into the company. We are seeing a good use of the money by increasing ROIC, ROE, as well as increasing earnings at consistently increasing rates. I'd say management is doing a good job with the money.

BALANCE SHEET

A company with w competitive advantage will often have 7ish years of surplus cash and be consistently adding to the surplus

- Company is growing its retained earnings at an astonishing rate around 25% - 30% per year. 2017 has a dramatic decrease in retained earnings because the company bought back 2.5B of stock.

Inventory should be slowly but consistently increasing showing they are producing more as a result of more sales

- Inventories growing at 12% per year for the past 10 years. 15% in the past 5 years. Shows that business is only getting better. Inventories went down in 2021 because finished products decreased as a result of better sales

Net receivables a good indicator of a company in comparison to its industry. Avoid companies with high net receivables but low sales. If a company is consistently showing a lower % of net receivables to sales, it usually has some kind of moat

- Company averages around 10-15% receivables to sales. Abbott averages around 15-18% and Medtronic 15-20%

PPE: company is constantly increasing its PPE is usually in a fiercely competitive industry. Also make sure that your company is buying PPE, if any, with surplus cash rather than financing and going into debt. A company with a strong moat doesn't have to update its PPE until it wears out (not often)

- Company has been increasing its PPE at a CAGR of 18% for the past decade. This is not the best sign, but it can be attributed to the company investing heavily into its Irvine location with new buildings. It's hard to know if the same amount of building will continue into the future, could be a question for management.

Higher assets means more depreciation

- The company has a fraction of the assets that its two biggest competitors (Medtronic and Abbott Labs) both have. This could be attributed to the fact that their two competitors generate a lot more revenue than they do, however these companies are not solely focused on heart valves the way Edwards is. Edwards does not have to deal with as much depreciation as its competitors in this way.

Intangible assets: buy companies that are big name and have the "intangible-ness" built-in

- Company determines the fair value of its acquisitions by the discounted cash flows model. Intangible assets represent a small portion of total assets of the company (<10%) and most of it is from R&D and IP related activities. Edwards doesn't necessarily buy companies that are huge brand name companies, but buys them because of their IP as it relates to heart valves and critical care products.

Long term investments: make sure if your company is buying other companies that they are other companies with competitive advantages

- More work to do on this

ROA: high % is good but too high a % could indicate that assets aren't big enough. The "price to enter the market" (total assets) must be high enough to prevent other companies from raising enough money and competing

- The company has averaged a ROA of 15% over the past five years. Medtronic is 5% and Abbott at 5.5%. Assets are still $8.5B, which is a significant amount of money for another company to raise and compete with Edwards. Not to mention the physician network moat that Edwards has built out, which would prevent a random company from competing

Banks: better to borrow long term and lend short term than to borrow short term and lend long term because of possible defaults

Long term debt due too much can be bad for a company that isn't solvent enough to handle it. A lot of long term debt usually scares investors away, so it can be a good time to buy given that a company has enough cash to handle it
If there is debt check if it is fixed rate or variable. Fixed is better as long as the rate is low. The footnotes of the balance sheet is a good place to find this.

- Company took on long term debt twice in the past decade. In 2013 they took on $600M of notes at fixed rate at 2.8% and again in 2018 with another $600M also fixed rate but at slightly higher interest of 4.3%. The company is solvent enough to pay off the debt right now if they wanted to, and with a fixed rate so low, they can handle it.The most recent notes are due June 15th, 2028 and they plan on paying it off

Long-term debt should not exceed working capital

- Working capital far exceeds the value of the long term debt

Debt should not exceed twice the book value

- Debt is less than one third book value

Debt should be able to paid off with 3 years or less of free cash flow

- Company can pay off debt with free cash flow in less than one year

Current ratio doesn't have to be above one if company has enough earning power to handle all short term liabilities

- Current ratio above 3

For industrial companies, current ratio no less than 2

Companies with strong moats often carry little or no long term liabilities. Look for companies that can pay off their long term debts with 3-4 years of earnings (or less)

Debt to equity ratio: great companies often show high DTE ratios because they have little shareholder equity because of buy backs. A better representation of equity is a treasury adjusted debt to equity (lower than one is ok, 0.8 is great)

- DTE of 0.1 because they have very little debt compared to their equity.

Usually companies with strong moats don't have a lot, if any, preferred stock because it is expensive money for company to offer

- The company has given the board of directors the right to issue 50M shares of preferred stock in case of a liquidation event. The board has not yet issued these shares and therefore they have no material effect at the moment. However, 50M shares represents 7% of the total outstanding shares, and thus if they were to be issued, they would significantly dilute the common stock shareholders. However, the company still has

400M more common stock shares that have not been issued to the public, and thus could dilute further.

The more earnings a company retains on the balance sheet, the faster it grows its retained earnings pool, which should increase growth rate of future net earnings. Find companies that consistently add to retained earnings

- Already did this part

The presence of treasury shares and a history of buying back shares is a good indicator of a moat. To find out if a ROE is a result of financial engineering or great business economics, add the treasury stock to equity and make the same calculation to compare deviation

- Both regular and treasury adjusted ROE are great and above 20%. Differences between them range anywhere from 5% to 20% depending on the year.

High ROE means a company is making good use of earnings it is retaining. Sometimes great companies can have negative net earnings because they don't retain any income. These companies can still have a competitive advantage if and only if they also have a consistent history of increasing net earnings

Profitability of a company is measured by return on sales and return on equity. Look for companies that are more profitable than their competitors in addition to being more massive

- Abbott 5 year avg = 14% ROE
- Medtronic 5 year avg = 8.2% ROE
- Edwards 5 year avg = 24% ROE

Avoid companies that use leverage to generate earnings because it is inherently risky in nature

Debt:

- Prefer to have none, but if a company does have some (or alot) but everything else about the business is operating just fine, research why they do and how they will pay it back eventually
- Look into their long term debt compared to their competitors. Why are they different?

STATEMENT OF CASH FLOWS

Make sure capital expenditures to net earnings is low. Add up total capex over a ten year period and add up total net earnings over a ten year period and divide capex by net earnings. 50% or lower is good and 25% or lower is great.

- Edwards averages 26%

Make sure cash from operating activities is consistently growing

- OC is growing at average 21% per annum past ten years

Look for a long history of a company buying back its shares which can be found under financing activities under issuance or (retirement) of shares. Issuance is selling shares and retirement is buying back

You will most likely experience an expensive error when evaluating moat if:
- Moat is not intrinsic
- Moat is not durable
- Moat is not being widened over time
- EPS growth solely by stock buybacks to lower outstanding shares
- Big four numbers are not growing (especially if book value, in particular, if not growing)
- Owner earnings and free cash flow is not predictable
- Cheap foreign competition getting stronger but hasn't reached US industry yet

MANAGEMENT

CEO: must be shareholder oriented, honest, and passionate. You want them to bleed the corporate colors
Researching the CEO:
- Letter to the shareholders
    - Does not write a letter to the shareholders. Why not Mike?
- Interviews/articles
- Insider trading (selling anything >30% usually not good)
    - Mike owns about ~$500M of Edwards stock and has not made a transaction this year at all. This represents roughly 65% of his entire net worth, so its safe to say he has a large vested interest in the performance of this company

Vanguard and Blackrock collectively own 17% of the entire business

Does the company have a CEO with integrity?
- I think Mike Mussallen does have integrity because it shows in the way he talks about this business. He's honest about when things are bad an

How candid is the letter to the shareholders?
Does management talk freely to investors when things are good AND bad?
Does the CEO and management have a Big Audacious Goal they are trying to achieve?
    - Enhance patient outcomes for people with heart disease, while being incredible patient focused
- Are they consistently working towards that goal?
    - Yes, everywhere around the campus there are signs that say the credo: "Helping patients is out life's work, and life is now!"
- Is the goal specific enough?
    - Goal is kind of general, while also being inherently specific. I like the idea of focusing on the end user rather than focusing on specific metrics.
- Is the goal constantly changing year to year? (this would be bad

    - The goal has been the same since Edwards inception into the markets in 2000.

How did CEO get to the position they are in now?

- Do they vacation a lot?
- What do they spend their money on?
    - MIke recently bought a $10M house in laguna beach
- What are their values?
- Is the current CEO also the founder? If not, what happened to the founder?
    - Mikes Lowel Edwards is dead. Mike Musallem has been at the helm since its spin off from Baxter in 2000
    - Mike is not the founder but he has been with Edwards since its breakoff from Baxter in 2001
- How does the board react to new CEOs?
- Does the CEO have a significant stake in the company? They should, proving they have a vested interest in the outcomes of the shareholders
    - Per the 2021 proxy statements: Over the past five years, on average, 90% of the CEO's target total direct compensation has been performance-based, and 75% has been tied to the performance of Edwards' stock
    - Already talked about this
- Does the CEO report bad news as well as good?
- How much is the CEO paid? Is this reasonable for the industry?
    - CEO is paid based on a 78% long term goals (43% are options)
    - Rest of executive team is paid 63% long term goals (34% are options)
    - Edwards CEO pay ratio (CEO pay over median employee pay) = 186
        - Abbott = 256
        - Medtronic = 215

Numbers that reflect a good CEO:

- ROE 15% or better
- ROIC 15% or better
- Debt within 3 years of earning power

The Company's Annual Incentive Plan has historically consisted of three elements:

- the corporate financial measurement (based on underlying revenue growth, adjusted net income and adjusted free cash flow targets);

- the Key Operating Drivers ("KODs") (quantifiable strategic milestones that include financial objectives and are tracked using a points system across our entire organization); and

- individual performance.

Get to know the board of directors…like really get to know them. Listen to quarterly earnings calls to see how involved the board is in the conversation. Make sure to listen to AT LEAST the last earnings call, preferably more.

- Who are they?

- Board of Directors is 8 people:
    - **Martha Marsh**. Mostly experienced in health care roles and committees. Provides an overall perspective on health industry
        - Owns 52K shares (~$4.2M in value), 28K of which have been rewarded thus far for her directorship
    - **Kieran Gallahue** → has been CEO of several medical device companies throughout his career. Offers financial and managerial perspectives
        - Owns about 97K shares (~$8M in value), half of which were rewarded thus far for his directorship since 2015
    - **Leslie Heisz**→ mostly experience in corporate finance and banking. Helps with financial reporting and such
        - Owns 48K shares (~$4M in value), 25K of which have been rewarded thus far for her directorship
    - **Paul LaViolette** → experience in medical device companies. Was COO of Boston Scientific for a bit as well as some startups. Provides perspective on strategy and innovation
        - Does not own stock or options
    - **Steve Loranger** → Has held extensive executive positions and is an expert in manufacturing and operations, specifically in regulated industries
        - Owns 75K shares (~$6.5M in value), 15K of which were rewarded thus far for her directorship
    - **Ramona Sequeira** → Only board member to not have current or previous directorships. Held several executive positions in pharmaceutical companies. Helps bring patient focused attitude.
        - Owns 3.3K shares ($264K in value), none of which have been rewarded thus far for her directorship
    - **Nicholas Valeriani** → Worked at Johnson and Johnson in several director and executive roles. Provides experience in medical industry as well as strategy and innovation expertise
        - Owns 61K shares (~$5M in value), none of which were rewarded for his directorship
- Each director gets paid ~$300K per year
    -
- There are twelve corporate officers plus Mike Mussallem. One for each business unit
    - TAVR: Larry Wood
    - TMTT: Bernard Zovighian
    - Surgical: Daveen Chopra
    - Critical Care: Katie Szyman
    - CFO: Scott Ullem
    - Huiman Wang: CVP of Japan, Asia, and Pacific
    - Jean-Luc Lemercier: CVP of EMEA
    - Don Bobo: CVP of corporate strategy and development

- How did they get there?
    - Almost every one of them has at least 25/30 years of experience in medical devices mostly in leadership roles
- Are they owners themselves?

Executive compensation as said by the 2021 proxy statements: Our executive compensation programs are designed to emphasize performance-based compensation, reward financial performance and the implementation of our corporate strategy and align the financial interests of our executives with those of our long-term stockholders.

Do the company executives follow through on their promises (cross-check previous filings to find what their goals used to be and see if they followed through)

- How much they anticipate using their cash: yes they follow through
- In2022, edwards will be required to amortize R&D expenses on a five year basis instead of deducting these costs from taxable income. This will materially reduce cash flows beginning in 2022.

Executives are overpaid. How much do they get paid compared to the industry?

Make sure the company doesn't reprice their options for insiders → shows that management only cares about themselves. You can check this in the footnotes about stock options in 10K reports. "Form 4" found in the EDGAR database shows if an executive is buying or selling option shares

- Over the past year, management and executives as a group have sold over a million shares of the company. Seems like management seemed pessimistic about 2022, for good reason.

The stock buyback dilution illusion: check to see if the executives are selling their stock option packages and as a result, forcing the company to buy back shares to prevent EPS dilution from their activities. Many executives have a vested interest against raising the dividend rate because doing so would decrease the volatility of their options, making them less valuable!

Don't get involved with companies that gives their executives stock option packages that gives them control of over 3% of the company capitalization, this is way too much

- All executives combined own 1.3% of the company capitalization. Mike Mussallem himself owns 0.85% of that.

Avoid companies that are constantly advertising their stock as a promising opportunity. You can check this in the 8K filings (Q&A dialogue with shareholders)

How happy are its employees?

- Employees of this company seem to be very happy and the culture here is very strong. Work life balance is emphasized heavily given the amount of athletic structures around, and team building exercises throughout the year

Does the company have any debt? If so, can its be paid back within 3 years earnings?

- Company does have debt that can be paid off within one year

Has company indicated that it has plans to take on debt in the future?

- Not sure about this one

Is the management buying/selling company stock when it is cheap/expensive? If not they are most likely buying back shares to fulfill their stock option packages

Make sure management isn't stock splitting all the time and advertising it as a 'buying opportunity'
- They're not

Check to make sure managers are being honest with who the bad managers are. You can find this in the back of annual report where heads of operating divisions are listed and who (and more importantly why) there were any changes
Check to see if any convertible issues are being issued
Read the proxy statements → IT IS EQUALLY IMPORTANT TO KEEP UP WITH QUALITY OF MANAGERS AS IT IS TO INVESTIGATE THEIR INTEGRITY IN THE FIRST PLACE

Invested Capital (according to Intelligent Investor):
+ Total assets
- Cash
- Short term investments and interest bearing current liabilities
+ Past accounting charges that reduced invested capital

You will most likely experience an expensive error in evaluating management if:
- ROE and ROIC are going down
  - Theyre increasing
- CEO does not act like an owner
  - CEO literally is a large owner and wants other employees to act like owners
- CEO puts self first
  - Puts patient first
- CEO letter and interviews are filled with F.O.G
  - Does not write a letter
- CEO sells more than 30% of their company shares (not including stock options)
  - Not even close
- CEO glosses over problems
  - He does not
- CEO selling too much stock at key times
  - CEO is barely selling his stock
- Company buying stock well above value
  - They buy stock all the time but at differing amounts depending on stock price.
- CEO recently replaced (this can be okay as long as you do your research on the new CEO)
- Debt more than 2 years of free cash flow
  - Debt is less than a year of free cash flow
- Debt increasing (bad debt)
  - Debt staying the same
- Loan covenants close to being breached by company

VALUATION

Pick the highest one out of all three(four)

Typically, MOS works for young, growing companies that don't have a whole bunch of earnings
- Growth rate is EPS + BVPS growth rate
- For future growth rate, take average of 10, 7, 5, and 3, years, then the average of that
- Keep in mind that the future growth rate of your company is fluid. It changes quarter to quarter, and year to year. Keep up with it to see how the story unfolds
    - 25.25% based on earnings
    - 21.94% based on operating cash
    - 12.22% based on sales
    - TOTAL COMPANY GROWTH RATE (avg of all three averages) = 19.8 (lets call it 20%

Payback time works for old companies with a lot of cash flow
A conservatively financed business has common stock which is worth at least half of total capitalization including bank debt
Price no more than 1.5 times net asset value
Price no more than 15 times average earnings over the past 3 years
Price no more than 1.5 times equity/book value unless there is a justified high P/A ratio
Portfolio P/E ratio inverse should be higher than AA bonds yield at the time (bondtalk.com)
Make sure you are getting a lot of book value per share

EQUITY BOND THEORY:
A share is a bond with a premium that is equal to the amount over book value
1. Grow EPS to future value based on earnings and equity growth still with basis on initial principle
2. Divide future EPS by long term corporate interest rates to get future value]
3. Back track using minimum accepted return to ge current value

EPS TTM: $2.38

OWNER EARNINGS (RULE 1 WORKSHOP):
+ Earnings (pre-tax)
+ Depreciation and amortization
+ Taxes (only if its a negative number, meaning they pay taxes) *found in statement of cash flows*
- change in receivables (subtract in negative, add if positive) *found in statement of cash flows*
+ change in payables (add if positive, subtract if negative)
- Maintenance fund

= **Owner Earnings**
Multiply wonder earnings by 10 = 10 cap price

OWNER EARNINGS RULE 1 WORKSHOP FROM 2021 FINANCIALS:
+ 1.7B (pretax income from income statement)
+ .13B (depreciation and amortization)

- .12B (income tax anticipated taking into account the tax paid for the one-off litigation with Abbott labs)
+ .2B (change in accounts payable from cash flow statement)
- .09B (change in receivable from cash flow statement)
- .33B - .14B (maintenance fund. Two numbers because one is capex reported and one is change is PPE reported. Both could be taken as maintenance)

= 1.51B - 1.68B Owner Earnings

10Cap price of 15.1B - 16.8B

OWNER EARNINGS (INTELLIGENT INVESTOR):

+ Operating Income
+ Depreciation and amortization of goodwill
- Federal income tax
- Cost of stock options
- Income generated from unsustainable rates of return on pension funds - anything greater than 6.5%
- Maintenance fund

= **Owner Earnings**

(when finding the maintenance fund, look through the 10K's specifically in the PPE section)

- Use command F for "capex"

OWNER EARNINGS from 2021 financials:

+ 1.59B (operating income)
+ .13B (depreciation and amortization)
- .12B (income tax anticipated taking into account the tax paid for the one-off litigation with Abbott labs)
- .1 (irregular income)
- .33B - .14 (capital expenditure)

= 1.17 - 1.36 B

10-cap price = 11.7B - 13.6B

PAYBACK TIME PRICE Sept 2022: **$71.93**

If you were to buy the whole company right now, how long would it take to get paid back in full based on free cash flow. We typically want 8 years

We use free cash because this is 'real' cash as opposed to earnings which is an accounting number

How to find FCF:

1. Scan income/cash flow statement for outliers. No outliers → use toolbox
2. Outliers → Use excel to eliminate statistical outliers and get a better understanding of free cash flow
    a. Only delete outliers if you understand the company and you are certain that the normal numbers will return in a few years

MARGIN OF SAFETY PRICE (using toolbox): **$71.93**

Sometimes a more accurate owner earnings figure is one in which the costs of granting stock option packages, non-recurring charges, and income from - if any - pension fund are subtracted from the total earnings. Owner earnings should be increasing at a steady 6-7% per annum

Is ratio of fair value to sticker for the per-share valuation compared to full price valuation the same?

You will most likely experience an expensive error in evaluating valuation if:
- Can't confidently calculate owner earnings
- Pay more than 10-cap price or 8-year payback price or MOS or Equity bond price
- Temporary issues making earnings and/or free cash growth/losses abnormal
- Future growth rates and future P/E estimates not realistic
- There is no event/price drop
- Price dropped but not enough of an event to go on sale
- Events produces significant fear but may not resolve itself in 1-3 years
- Event may permanently damage the core business
- Can't understand the event - its too complex

INVERSION

Check to see if there are any short sellers of your company → google "short _____"
- This is a good way to find an inversion story
- Ask yourself if you know more than the short seller?
- How many shares outstanding are being sold short? Will this drastically affect the price if sold?

Check risk factors in the 10K, ask yourself if any of these will drastically affect the core business
Read competitors 10K and look what their risk factors are. Are they similar to your company's?

Seeking Alpha articles for rebuttals
Consider whether the company has business internationally, especially in CHina

Make a list of all things that can go wrong with the business
- Make a logical, fact based, rebuttal to each point
- Act like you are the CEO
- What can change the future growth rates?
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